

THE WALL STREET JOURNAL.

DOW JONES | News Corp *****

TUESDAY, MAY 13, 2025 ~ VOL. CCLXXXV NO. 111

WSJ.com

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What's News

Business & Finance

◆ **U.S. stocks surged** as investors digested the de-escalation of the U.S.-China trade war, pushing the S&P 500 up 3.3%. The Nasdaq rose 4.3%, entering a bull market, and the Dow gained 2.8%. **A1**

◆ **Shares of drugmakers** rebounded after Trump signed an executive order on prescription-drug prices that offered pharmaceutical companies room for negotiation. **A1**

◆ **Apple is weighing** price increases for its fall iPhone lineup, a step it is seeking to couple with new features and design changes. **B1**

◆ **The FCC said it would** investigate EchoStar's compliance with federal requirements to build a nationwide 5G network. **B1**

◆ **Perplexity is in** advanced talks for a new funding round to be led by Accel that would value the artificial-intelligence startup at \$14 billion. **B1**

◆ **United CEO Scott Kirby** said it is safe to fly in and out of Newark after two weeks of technology and air-traffic control staffing issues. **B3**

◆ **Eli Lilly said** trial patients lost more weight on its Zepbound obesity drug than those on Novo Nordisk's Wegovy in a head-to-head study of the two drugs. **B3**

◆ **Fox said it would** launch its direct-to-consumer streaming service that will include Fox News, Fox Sports and other offerings before the start of the NFL season in September. **B3**

◆ **A painting** by Piet Mondrian sold for \$47.6 million, kicking off a series of New York auctions that will test the art market's mettle. **B3**

World-Wide

◆ **The U.S. and China** agreed to slash punishingly high tariffs on each other's products, jump-starting global markets and resetting the tone between the world's two largest economies from outright conflict to constructive engagement. **A1**

◆ **House Republicans** unveiled a tax plan that raises the SALT, ends some taxes on tips and overtime and extends Trump's 2017 tax cuts, debits to be partly paid for by rolling back clean-energy tax breaks. **A4**

◆ **GOP representatives** released their plan to cut Medicaid spending, with the program's defenders appearing to win the intraparty clash over how aggressively to change the system. **A4**

◆ **The sex-trafficking trial** of Sean Combs began in New York federal court with prosecutors and the defense team clashing over questions of coercion and acquiescence of his alleged victims. **A3**

◆ **The Trump administration** is investigating whether Harvard University discriminated against white, Asian, male or heterosexual workers in its hiring and promotion practices. **A3**

◆ **The Justice Department** is preparing to reward people who tip off authorities about companies involved in immigration crimes or tariff evasion, leveraging federal whistleblower programs for Trump's policy priorities. **A3**

◆ **The British government** said it would limit legal immigration, saying that a record influx of foreigners since Brexit has done little to energize the economy. **A8**

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U.S., China Slash Tariffs for 90 Days

Bigger reductions than expected ease tensions, with more negotiations ahead

The U.S. and China agreed on Monday to slash punishingly high tariffs on each other's products, jump-starting global markets and resetting the tone between the world's two largest economies from outright conflict to constructive engagement.

The world's two biggest

economies unwound for now most of the tariffs they had imposed on each other since April in a tit-for-tat battle that was threatening to stoke U.S. inflation, crash China's export engine and upend the global economy.

The U.S. agreed to lower the base level of tariffs on most Chinese goods to 30%, from 145%, while China said it would cut its levies on U.S. products to 10% from 125%. The 30% rate imposed by the U.S. includes a levy related to China's alleged role in the fentanyl cri-

By **Brian Schwartz** in Geneva, **Jason Douglas** in Singapore and **Rebecca Feng** in Hong Kong

sis plaguing the U.S., an issue in the weekend's talks.

Investors and analysts said the outcome was much better for the global economy than they had expected on Saturday, when U.S. and Chinese negotiators started two days of intensive talks at the Geneva residence of the Swiss ambassador

to the United Nations.

Stock markets in the U.S. and elsewhere surged on the news. The dollar and bond yields rose, reflecting expectations of faster U.S. growth as trade tensions recede. Exporters breathed a sigh of relief.

The U.S. tariff on many Chinese products will be higher than 30%. U.S. duties on steel, aluminum and autos remain in place, as do some earlier tariffs on certain Chinese goods imposed during President Trump's first term in office and that of former

President Joe Biden.

Washington and Beijing agreed to keep the new tariff levels in place for 90 days, with the goal of working toward a broader deal on trade in further talks.

China said it would cancel or suspend some nontariff trade measures it had imposed to hit back at the U.S., potentially turning to page A2

◆ **What the tariff rollback means for the economy... A2**
◆ **James Mackintosh: Investors get more than a rally..... B1**

Last Living American Hostage in Gaza Is Freed



TOGETHER AGAIN: Edan Alexander is reunited with his parents, shown in a photo provided by the Israeli army, after the 21-year-old was handed over by Hamas on Monday. For video of the release and reunion, scan the code with the article on A7.

Insurers Cover Self-Defense Shooters

Rise in gun ownership and stand-your-ground laws drives a lucrative new market

By **MARK MAREMONT** AND **TAWNELL D. HOBBS**

On a November night in 2022, Joshua Huston camped out with his AR-15 rifle on a lot he owned next to his Florida home, hoping to catch the person who had been stealing from the property.

Around 2 a.m., he says he was startled awake by a man a few feet away. The man, holding something shiny, started yelling. Fearing for his life, Huston fired several times. The intruder ran away, bleeding.

What happened next shows the ben-

efits—and pitfalls—of a fast-growing insurance market catering to gun owners who want protection if they kill or injure in self-defense.

Rushing back to his house, Huston followed the directions on a "Post Incident" card from the U.S. Concealed Carry Association, telling a 911 operator: "I was attacked on my lot," according to a recording of the call. At the same time, his wife was on the company's 24-hour hotline.

Within an hour, a USCCA attorney called to represent him.

But after Huston was arrested and

charged with attempted murder, he says the USCCA lawyer told him the case was a difficult one and advised him to plead guilty to a lesser charge. He went out and found a new lawyer, who got the charges dismissed. Even though USCCA also paid for the new lawyer, Huston quit his membership shortly after the two-year legal saga ended.

"I knew I was innocent—there was no way I was going to take a guilty plea," said Huston, a 49-year old disabled Air Force veteran.

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Crafters Mourn the Demise Of Their 'Little Happy Safe Place'

Joann fans say they'll never get over closure; 'I don't think I'm liking this new world'

By **ALYSSA LUKPAT**

Pat Cernansky can't imagine browsing the internet for the heavy-duty threads and canvases she needs to make cushions for her outdoor furniture.

Art-supply shopping is all about sight, touch and feel, the retired New York nurse said as she perused the aisles of her local Joann store last month. Cernansky was nostalgic as she wandered among bolts and discounted yarn, looking for some final bargains before the craft retailer closes.

"Am I going to go on Amazon?" she asked with a sigh. "It's a good thing I'm getting old because I don't think I'm liking this new world."

Cernansky, 73, and legions of crafters are mourning the end of Joann, saying it will

leave a quilt-sized hole when it goes dark this month.

The chain, with about 800 locations across the U.S., has been a one-stop shop for crafters for decades. It was the place to get a feel for a fabric and see how it shimmers in light, to compare an olive green and chartreuse velvet and shop for the best price, to talk to an expert about which needle to use for a project, and to pick up a few sticks of glue—just in case.

More than a quarter of Americans who worked on at least one craft project over roughly the past year bought supplies from Joann, according to research firm Mintel.

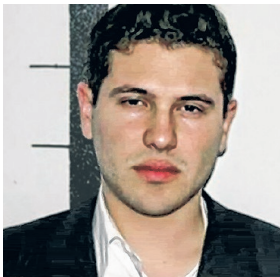
By the end of the month, all of its stores will have closed after the Ohio-based chain filed for bankruptcy a second

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Sewed up

INSIDE



WORLD NEWS
The underground hunt for Mexico's most wanted drug kingpin. **A8**



PERSONAL JOURNAL
How to visit Disney's Magic Kingdom on a frugal budget and still have fun. **A11**

Drugmakers Spared Worst-Case Scenario On Drug-Price Order

By **JARED S. HOPKINS** AND **PETER LOFTUS**

The pharmaceutical industry's reaction to President Trump's executive order on drug prices? It could have been worse.

Shares of drugmakers surged Monday after President Trump signed an executive order designed to lower what people pay for prescription drugs that offered pharmaceutical companies room for negotiation.

Moderna and Merck saw a jump of nearly 6%, while Pfizer and Bristol-Myers Squibb were up more than 3%. Eli Lilly was up more than 2% and Johnson & Johnson dropped 0.05%. The SPDR S&P Biotech ETF, an equal-weighted index of biotech stocks, rose 4%.

The executive order directs the Trump administration to prepare a so-called "Most-Favored Nation" plan that would tie U.S. drug prices to the lowest prices in other developed

countries. The policy could take effect if drugmakers are unable to settle on lower prices with federal officials.

With the order, drugmakers avoid—even if temporarily—a worst-case scenario in which Trump implements a Most-Favored Nation policy right away. An industry trade group recently estimated a \$1 trillion cost over a decade to drugmakers for an international pricing policy for Medicaid.

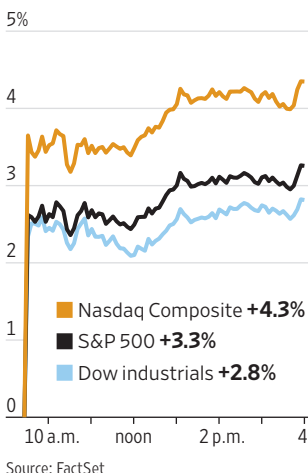
The order doesn't specify whether pricing changes would apply to Medicare or Medicaid, suggesting that its impact could be broad and apply to commercial insurance.

Medicare is the federal health-insurance program for senior citizens. Medicaid is a federal-state health-insurance program for lower-income people.

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◆ **GOP seeks middle ground on Medicaid cuts..... A4**

Index performance on Monday



◆ **Heard on the Street: Profit outlooks are shaky..... B10**